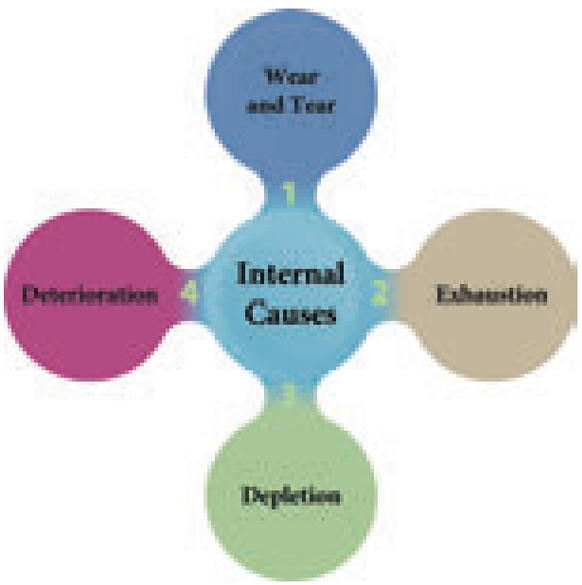
	
How I was?	***How I am?***

INTERNAL CAUSES

Wear and tear, exhaustion, depletion, deterioration etc., causes depreciation on assets which are internal in nature.



1. **Wear and Tear:** The value of capital assets like plant, machinery, building etc. decrease in value due to constant use. The wear and tear of an asset depends on the usage of asset. For example, when machinery is used for three shifts the wear and tear will be greater than the machinery which is used on a single shift. The difference between the value of an asset when it was purchased and its value after being used for some time period represents wear and tear of the asset.
2. **Exhaustion:** Certain assets like plantations and livestock loose their value with lapse of time as they are being used or consumed. These assets have a definite period of life after which they exhaust in value and become useless.
3. **Depletion:** Natural resources such as mines, quarries and oil wells are of a wasting character and are called as wasting asset. These assets loose their value due to extraction of oil, depletion of minerals and metals. Thus, the value of wasting assets declines due to gradual exhaustion.
4. **Deterioration:** Deterioration means erosion in value of those assets which have a very short period of life. The fall in value of those assets refers to depreciation.

EXTERNAL CAUSES

External factors which cause depreciation include passage of time, obsolescence, permanent fall in market value and weather and accidental calamities. These factors are not connected to the inherent nature of the asset.

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